

National Surety Company), and holders of bonds with such guarantees failed to obtain full protection.¹

LEASEHOLD OBLIGATIONS EQUIVALENT TO GUARANTEES

The property of one company is often leased to another for a fixed annual rental sufficient to pay interest and dividends on the former's capital issues. Frequently the lease is accompanied by a specific guaranty of such interest and dividend payments, and in fact the majority of guaranteed corporate issues originate in this fashion.² But even if there is no explicit guaranty, a lease or other contract providing fixed annual payments will supply the equivalent of a guaranty on the securities of the lessee company.

Examples: An excellent instance of the value of such an arrangement is afforded by the Westvaco Chlorine Products Corporation 5¹/₂s, issued in 1927 and maturing in 1937. The Westvaco Company agreed to sell part of its output to a subsidiary of Union Carbide and Carbon Corporation, and the latter enterprise guaranteed that monthly payments would be made to the trustee sufficient to take care of the interest and retirement of the 5¹/₂% bonds. In effect this arrangement was a guaranty of interest and principal of the Westvaco issue by Union Carbide and Carbon, a very strong concern. By reason of this protection and the continuous purchases for redemption made thereunder, the price of the issue was maintained at 99 or higher throughout 1932–1933. This contrasts with a decline in the price of Westvaco common stock from 116¹/₂ in 1929 to 3 in 1932. (The entire bond issue was called at 100¹/₂ in September 1935.)

Another interesting example is supplied by the Tobacco Products Corporation of New Jersey 6¹/₂s, due 2022. The properties of this com-

¹ But in the case of the independent surety companies the guarantees proved of substantial, if only partial, value. The bankruptcy estate of National Surety Company yielded a large cash payment to holders of bonds bearing its guarantee. Some of the other companies managed to remain solvent by affecting a kind of composition with bondholders, involving the issuance of new bonds carrying a guarantee of interest at rather low rates, though not of principal. *Examples:* Metropolitan Casualty Company, Maryland Casualty Company, United States Fidelity and Guaranty Company.

² For example Pittsburgh, Fort Wayne and Chicago Railway Company Preferred and Common receive 7% dividends under a 999-year lease to the Pennsylvania Railroad Company. These dividends are also guaranteed by the Pennsylvania.